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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

July

8, 2026

CASE NUMBER

25SMCV01430

MOTION

(1)

Post Security Bond

(2)

Leave to Amend

MOVING PARTIES

(1)

Entity Plaintiffs and Cross-Defendants LuvBrite

Collective; All Dots Connect Media, Inc.; Green Mind, LLC; and LB Distro, LLC

(2)

Defendant and Cross-Complainant Ramin Benyamini

OPPOSING PARTIES

(1)

Defendant and Cross-Complainant Ramin Benyamini

(2)

none

MOTIONS

This case arises from a dispute between former partners in a cannabis business.

The operative Second Amended Complaint ("SAC") filed by Plaintiffs Ashkan Motamen; Michael Kumar Ali Ghazi; Eric Nomura; Green Mind, LLC; LB Distro LLC; All Dots Connect Media, Inc.; and Luvbrite Collective ("Plaintiffs") against Defendants Ramin Benyamini; David Banayan; Payam Benyamini; Rona Makabi; Payam Makabi; Akram Makabi Koroghli; 132 Vendome LLC; Benyamini Enterprises Inc.; Reservoir 26, LLC; and Benyamini DHS, LLC ("Defendants") alleges seven causes of action as follows:

1.

Breach of Partnership Agreement

2.

Breach of Joint Venture Agreement

3.

Breach of Fiduciary Duty

4.

Negligence

5.

Gross Negligence

6.

Secret Profits

7.

Aiding and Abetting Breach of Fiduciary Duty

On March 10, 2026, Payam Benyamini filed a cross-complaint against All Dots Connect Media, Inc. for (1) breach of contract and (2) unjust enrichment.

On April 15, 2026, Ramin Benyamini filed a complaint against the Entity Plaintiffs Luvbrite Collective; All Dots Connect Media, Inc.; Green Mind, LLC; and LB Distro, LLC ("Entity Plaintiffs") seeking derivative claims for breach of fiduciary duty and negligent supervision, as well as direct claims for equitable indemnity and contribution and declaratory relief.

The Entity Plaintiffs now move for an order requiring Cross-Complainant Ramin Benyamini ("Benyamini") to furnish a security bond. The Individual Plaintiffs Motamen, Kumar, Ghazi, and Nomura ("Individual Plaintiffs") have joined the motion, and Benyamini opposes the motion.

Benyamini has also moved for leave to file a First Amended Cross-Complaint. The motion is unopposed.

ANALYSIS

1.

Security Bond

In an action instituted or maintained in right of any domestic or foreign limited liability company by any member of the limited liability, "at any time within 30 days after the service of summons upon the limited liability company or upon any defendant who is a manager of the limited liability company or held that position at the time of the acts complained of, the limited liability company or the defendant may move the court for an order, upon notice and hearing, requiring the plaintiff to furnish security[.]" (Corp. Code, § 17709.02, subd. (b).)

The motion must be based on at least one of the following grounds: (1)

that there is no reasonable probability that the prosecution of the cause of action alleged in the complaint against the moving party will benefit the limited liability company or its members or (2) that the moving party, if other than the limited liability company did not participate in the transaction complained of in any capacity. (Corp. Code, § 11709.02, subd. (b)(1)-(2).)

"If the court determines, after hearing the evidence adduced by the parties, that the moving party has established a probability in support of any of the grounds upon which the motion is based, the court shall fix the nature and amount of security, not to exceed fifty thousand dollars (\$50,000), to be furnished by the plaintiff for reasonable expenses, including attorney's fees, that may be incurred by the moving party and the limited liability company in connection with the action." (Corp. Code, § 11709.02, subd. (c)(2).) "[T]he court shall not in any event increase the total amount of the security beyond fifty thousand dollars (\$50,000) in the aggregate for all defendants." (Ibid.)

Entity Plaintiffs move for an order requiring Cross-Complainant Benyamini to furnish a security bond in the amount of \$50,000 on the ground that there is no reasonable possibility that the prosecution of the causes of action alleged in Benyamini's cross-complaint will benefit any of the Entity Plaintiffs.

Entity Plaintiffs first point to the fact that Benyamini's Cross-Complaint was filed around the same time as his prior motion to disqualify counsel, which Entity Plaintiffs contend is evidence that the Cross-Complaint was filed merely to create leverage regarding Benyamini's assertion that there was a conflict of interest in the same legal counsel representing both the Entity Plaintiffs and the Individual Plaintiffs, who are owners, members, officers, and/or directors of the Entity Plaintiffs.[1]

Entity Plaintiffs also argue that the relief sought in the Cross-Complaint will provide no benefit to the Entity Plaintiffs because the four derivative causes of action effectively seek equitable indemnity, contribution, and apportionment of fault, because Benyamini himself would have to be liable to Entity Plaintiffs (and the Individual Plaintiffs) under the operative SAC before he could succeed on his Cross-Complaint. Indeed, the Cross-Complainant Benyamini alleges:

20. The Second Amended Complaint in this action alleges that Benyamini, as CFO, engaged in a pattern of financial misconduct spanning approximately 2018 through 2024, including: maintaining false financial records, misappropriating funds, submitting inaccurate reports to government taxing authorities, manipulating point-of-sale data, and recording fictitious loans. (SAC ¶¶ 32-54.)

21. If these allegations are true, they describe a pattern of misconduct that could not have persisted for six years without the knowledge, acquiescence, or negligent failure to supervise by the individuals who controlled the entities.

22. Cross-Defendant Motamen, as CEO and 60% owner of Luvbrite Collective and ADCM, had the primary duty to oversee all aspects of the entities' operations, including financial management. As CEO, Motamen was responsible for establishing and maintaining adequate internal controls, reviewing financial reports, ensuring the accuracy of tax filings, and supervising all officers—including the CFO. Motamen either knew of the alleged irregularities and failed to act, or failed to exercise reasonable diligence in supervising the financial operations of the entities he controlled.

23. Cross-Defendant Kumar, as 51% majority member of Green Mind, LLC, had governance authority and oversight responsibility for that entity. Kumar either knew of the alleged financial irregularities at Green Mind or failed to exercise reasonable diligence in overseeing the entity's financial affairs.

24. Cross-Defendants Ghazi and Nomura, as members of LB Distro LLC, had governance rights and fiduciary duties to that entity under Corporations Code section 17704.09. They either participated in or acquiesced to the operational and financial decisions that form the basis of the claims in the SAC.

25. As alleged in the SAC, the entity Plaintiffs suffered damages of not less than \$3,000,000 in misappropriated funds and lost profits, plus an additional \$1,000,000 in tax underpayments, penalties, and interest, plus loss of their Weedmaps advertising platform access. (SAC ¶¶ 51, 62, 70, 76.) To the extent these losses resulted from the failure of Cross-Defendants to properly oversee and supervise the entities they controlled, the entities have independent claims against Cross-Defendants for

those losses.

(Cross-Complaint
at ¶¶ 20-25.)

In summary, Benyamini alleges that if Plaintiffs are correct that he abused his position of power within the Entity Plaintiffs, then the Individual Plaintiffs are also culpable for failing to properly supervise Benyamini or otherwise halt Benyamini's misconduct. Indeed, the full scope of the damages sought by way of the Cross-Complaint is the "not less than \$3,000,000" in funds and lost profits, plus the additional \$1,000,000 in tax underpayments, penalties, and interest, and loss of their Weedmaps advertising platform access sought in the SAC.

(Cross-Complaint ¶ 25, citing SAC ¶¶ 51, 62, 70, 76.)

In opposition, Benyamini argues the motion is mooted by the proposed First Amended Cross-Complaint, which dismisses the derivative claims against Luvbrite Collective, LB Distro, LLC, and Green Mind, LLC, upon which the security bond motion is based, retaining only the derivative claim for breach of fiduciary duty on behalf of All Dots Connect Media, Inc. against Motamen and the direct claim for equitable indemnity against the Individual Plaintiffs only.

Plaintiffs have not filed a reply, and therefore effectively concede that the proposed amendments will moot their motion, if the Motion for Leave is granted.

2.

Leave to Amend

a.

Legal Standards

Amendments

to Pleadings: General Provisions

Under Code of Civil Procedure

section 473, subdivision (a)(1), "The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a

mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code."

To wit, without notice to the other party the Court has wide discretion to allow either party (i) to add or strike the name of a party or (ii) to correct a mistake in the name of a party or a mistake in any other respect "in furtherance of justice" and "on any terms as may be proper." (See Code Civ. Proc., § 473, subd. (a)(1); see also *Marriage of Liss* (1992) 10 Cal.App.4th 1426, 1429.) Alternatively, after notice to the other party, the Court has wide discretion to allow either party to amend pleadings "upon any terms as may be just." (See Code Civ. Proc., § 473, subd. (a)(1). Similarly, Code of Civil Procedure section 576 states "Any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order."

Judicial policy favors resolution of all disputed matters between the parties and, therefore, leave to amend is liberally granted. (*Berman vs. Bromberg* (1986) 56 Cal.App.4th 936, 945; *Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 488-489 [this has been an established policy in California since 1901] (citing *Frost v. Whitter* (1901) 132 Cal. 421, 424; *Thomas v. Bruza* (1957) 151 Cal.App.2d 150, 155).) The Court of Appeal in *Morgan v. Superior Court* held "If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court* (1959) 172 Cal.App.2d 527, 530, citations omitted.) Moreover, "it is an abuse of discretion for the court to deny leave to amend where the opposing party was not misled or prejudiced by the amendment." (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048 [opposing party did not establish harm by the delay in moving to amend the complaint].)

"The court may grant leave to amend the pleadings at any stage of the action." (Weil & Brown, Cal. Practice

Guide: Civil Procedure Before Trial (The Rutter Group 2026) ¶ 6:636 (hereafter Weil & Brown).) Denial of a motion

to amend is rarely justified if the motion is timely made and granting the motion will not prejudice the opposing party. (Id. at ¶ 6:639, citations omitted.) However, if the party seeking the amendment has been dilatory, and the delay has prejudiced the opposing party, the judge has discretion to deny leave to amend. (Id. at ¶ 6:655, citations omitted. Absent prejudice, any claimed delay alone is not grounds for denial. "If the delay in seeking the amendment has not misled or prejudiced the other side, the liberal policy of allowing amendments prevails. Indeed, it is an abuse of discretion to deny leave in such a case even if sought as late as the time of trial. (Id. at ¶ 6:653 (citing *Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564-565).) "Prejudice exists where the amendment would result in a delay of trial, along with loss of critical evidence, added costs of preparation, increased burden of discovery, etc. . . . But the fact that the amendment involves a change in legal theory which would make admissible evidence damaging to the opposing party is not the kind of prejudice the court will consider." (Weil & Brown, *supra*, at ¶ 6:656, citations omitted.)

"Even if some prejudice is shown, the judge may still permit the amendment but impose conditions, as the Court is authorized to grant leave 'on such terms as may be proper.'" (Weil & Brown, *supra*, at ¶ 6:663, citation omitted.) For example, the court may cause the party seeking the amendment to pay the costs and fees incurred in preparing for trial. (Id. at ¶ 6:664 (citing *Fuller v. Vista Del Arroyo Hotel*, 42 Cal.App.2d 400, 404).)

California

Rules of Court, rule 3.1324: Procedural Requirements

Pursuant to California Rules of

Court, rule 3.1324(a), a motion to amend a pleading before trial must:

"(1) Include a copy of the proposed amendment or amended pleadings, which must be serially numbered to differentiate it from previous pleadings or amendments;

(2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and

(3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located.”

In addition, under Rule 3.1324(b), a motion to amend a pleading before trial must be accompanied by a separate declaration that specifies the following:

“(1) the effect of the amendment;

(2) why the amendment is necessary and proper;

(3) when the facts giving rise to the amended allegations were discovered; and

(4) the reasons why the request for amendment was not made earlier.”

b.

Discussion

In

support of the motion, Benyamini advances the Declaration of Robert B. Mobasser, which provides as follows:

4. Attached hereto as Exhibit A is a true and correct copy of the proposed First Amended Cross-Complaint (the “FACC”) that Cross-Complainant seeks leave to file

5. Attached hereto as Exhibit B is a true and correct copy of a summary of changes comparing the original Cross-Complaint and the proposed FACC, prepared by my office, identifying all proposed deletions, amendments, and retained claims.

6. Effect of the Amendment (Cal. Rules of Court, rule 3.1324(b)(1)). The proposed FACC narrows the cross-complaint in the following respects: (a) it amends the First Cause of Action (breach of fiduciary duty on behalf of Luvbrite Collective and ADCM) to delete the derivative claim asserted on behalf of Luvbrite Collective, retaining a single

derivative cause of action on behalf of ADCM only, against Cross-Defendant Motamen alone, for breach of fiduciary duty; (b) it deletes, in their entirety, the Second Cause of Action (derivative breach of fiduciary duty on behalf of Green Mind, LLC), the Third Cause of Action (derivative breach of fiduciary duty on behalf of LB Distro LLC), and the Fourth Cause of Action (derivative negligent supervision on behalf of all entities); (c) it streamlines the Fifth Cause of Action (equitable indemnity and contribution) into a single direct cause of action for equitable indemnity against all individual Cross-Defendants; and (d) it deletes the Sixth Cause of Action (declaratory relief). The net effect is to reduce the cross-complaint from six causes of action to two, and to reduce the number of derivative theories from four to one.

7. Why the Amendment Is Necessary and Proper (Cal.

Rules of Court, rule 3.1324(b)(2)). After further analysis of the operative Second Amended Complaint and assessment of the relative strength of the four derivative theories, I determined that the derivative claim on behalf of ADCM is the strongest and most directly supportable theory. ADCM was the management services entity that operated the cannabis business at issue throughout the period of alleged misconduct, and it held the 80 percent indirect ownership stake in LB Distro through which Cross-Defendant Motamen exercised control. The derivative claims on behalf of the other three entities present standing, demand-futility, and statutory-notice issues that would burden the litigation without materially expanding the available recovery. Streamlining the pleading to focus on the strongest claim serves the interests of the entity, of Cross-Complainant, and of judicial economy. The streamlining of the direct claims serves the same purpose: a single equitable indemnity cause of action captures the substance of the relief sought without the duplicative theories previously pleaded.

8. When the Facts Giving Rise to the Amended

Allegations Were Discovered (Cal. Rules of Court, rule 3.1324(b)(3)). The factual allegations supporting the proposed FACC are not new and were known to Cross-Complainant at the time the original Cross-Complaint was filed. The basis for the amendment is a re-evaluation of how those facts are best pleaded, in light of (a) the moving papers filed by the entity Plaintiffs on May 15, 2026 (the motion for security bond), which sharpened the analysis of which derivative theories were strongest and most efficient to litigate; and (b) my office's continued review and analysis of the operative pleading following the substitution of independent counsel for the entity Plaintiffs in late April 2026.

9. Reason the Request for Amendment Was Not Made

Earlier (Cal. Rules of Court, rule 3.1324(b) (4)). The original Cross-Complaint was filed on April 15, 2026, only six weeks before this motion. The intervening period has been occupied with the substitution of independent counsel for the entity Plaintiffs (which occurred on or about April 24, 2026), the filing of the bond motion on May 15, 2026, and the joinder thereto on May 27, 2026. In each instance, the procedural posture and the moving parties' stated theories informed my evaluation of how to best position the cross-complaint. As soon as it became apparent that streamlining was warranted, I prepared the proposed FACC and sought a stipulation to its filing. The request for amendment is being made promptly

10. Meet and Confer. Prior to filing this motion, I sent meet-and-confer correspondence to counsel for Plaintiffs/Cross-Defendants requesting a stipulation to the filing of the proposed FACC. I explained that the proposed amendment would narrow the case and obviate substantial portions of the pending bond motion. No stipulation was reached, necessitating the filing of this motion.

11. No Prejudice. No trial date has been set in this action. No discovery cut-off has passed. No party has propounded or responded to discovery directed to the derivative claims being dismissed by the proposed FACC. I am not aware of any evidence that has been lost, any party that has changed position in reliance on the original Cross-Complaint, or any statute-of-limitations issue that would be implicated by the amendment. The amendment narrows the case rather than expanding it, and will reduce, not increase, the parties' litigation burdens.

(Mobasseri
Decl. ¶¶ 4-11.)

Thus, Benyamini has satisfied all procedural and substantive requirements for leave to amend the Cross-Complaint and no party has opposed the motion.

CONCLUSION AND ORDER

Finding Benyamini has satisfied all procedural and substantive requirements, the Court grants Benyamini's unopposed motion for leave to file

the First Amended Cross-Complaint.

Benyamini shall file and serve the proposed First Amended Cross-Complaint on or before July 22, 2026.

Further, in light of the proposed amendments to the Cross-Complaint, eliminating the derivative cross-claims against the Limited Liability Company Plaintiffs, the Court denies as moot Plaintiffs' motion for an order requiring Benyamini to furnish a security bond.

Benyamini shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 8, 2026 _____/s/ _____

Michael
E. Whitaker

Judge
of the Superior Court

[1] The Court denied that motion on the grounds that counsel withdrew from representing the Entity Plaintiffs, who retained new counsel, thereby abating any conflict of interest. (See Minute Order, May 12, 2026.)